Foreign Portfolio Investors

January 2025

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Regulatory updates – SEBI

Measures to address regulatory arbitrage with respect to Offshore Derivative Instruments (ODIs) and Foreign Portfolio Investors (FPI) with segregated portfolios

Key aspects of the circular are:

Mandatory separate registration for ODI issuing FPIs:

FPIs issuing ODIs are required to obtain a separate, dedicated FPI registration for ODI activities with no proprietary investment.

Such FPIs to obtain separate registration, as applicable, within one year from date of circular. Further, off-market transfer of assets/positions is permitted for such FPIs intending to transfer assets/position from one FPI account to another FPI account to comply with requirements.

Exception: Separate registration is **not required** for issuance of ODIs with government securities as reference/underlying.

Derivatives as underlying of ODI or for hedging not permitted:

ODIs to only have securities (other than derivatives) as underlying and to be fully hedged with same securities on a one-to-one basis, throughout tenure of ODI.

ODIs with derivatives as underlying/reference, issued and outstanding as on date of circular, to be redeemed within **one year** from date of SEBI circular. No renewal of such ODIs permitted.

ODIs with securities (other than derivatives) as underlying/reference and hedged with derivatives, issued and outstanding as on date of the circular, to be redeemed or hedged with same securities as the underlying/reference within **one year** from the date of the circular.

Additional granular disclosure for ODI subscribers:

ODI subscribers who satisfy the below mentioned criteria are required to provide granular details of all entities holding any ownership, economic interest, or exercising control in the ODI subscriber, **on a full look through basis**, up to the level of all natural persons, **without any threshold.**

Criteria for ODI subscriber:

- ODI subscriber having more than 50 per cent of its equity ODI positions through the ODI issuing FPIs in ODI referenced to securities of a single Indian corporate group (concentration criteria); or
- ODI subscriber having equity position more than INR 250 billion in Indian market (size criteria)

For said purpose, equity position to include:

- Equity ODI positions taken by ODI subscriber through one or more ODI issuing FPIs
- Equity ODI positions taken by ODI subscribers (through one or more ODI issuing FPIs) having common ownership, directly or indirectly, of more than fifty per cent or common control, with the ODI subscriber
- Equity holdings of such ODI subscriber as a registered FPI
- Equity holdings of FPIs having common ownership, directly or indirectly, of more than fifty per cent or common control, with the ODI subscriber.

Exemption: Certain ODI subscribers who satisfy prescribed criteria are not required to make additional disclosures, including government and government related investors, public retail funds as defined in SEBI (FPI) Regulations, 2019 etc.

Breach	Important timelines
Concentration criteria breached	• ODI subscriber to re-align within **10 trading days** from the date of breach of specified threshold • ODI subscriber not permitted to take fresh positions in equity ODI referenced to securities of any company belonging to such Indian corporate group during the next 30 calendar days from the date on which the ODI subscriber exceeded the threshold
Size criteria breached	• ODI subscriber to re-align within **90 trading days** from the date of breach of specified threshold • ODI subscriber not permitted to take fresh positions in equity ODI until the equity positions are brought below INR 250 billion in the Indian markets
Disclosure post expiry of above timelines (where positions exceed the threshold)	• ODI issuing FPI to collect the details specified from ODI subscribers within **30 days** from the expiry of such timelines and to submit the disclosures to depositories within 5 trading days from the date of such disclosures made by such ODI subscribers • In case of any changes in details, depositories to be informed within 30 days of any change in such details
Consequence in case of non-disclosure	• The ODI subscriber to be rendered ineligible to subscribe or hold any ODI positions through an ODI issuing FPI. ODI issuing FPI to redeem all ODI positions held by such ODI subscriber within **180 calendar days** from the date of ineligibility.

The Standard Operating Procedure to be framed and adopted by depositories, DDPs, and ODI issuing FPI in consultation with SEBI and made public within two months from date of circular.

Additional granular disclosure for FPIs with segregated portfolios:

Criteria for FPI:

- FPIs holding more than 50 per cent of their Indian equity Assets Under Management (AUM) in a single Indian corporate group (concentration criteria); or
- FPIs that individually, or along with their investor group hold more than INR 250 billion of equity AUM in the Indian markets (size criteria)

Application to FPIs with segregated portfolios:

- The concentration and size criteria to apply individually to each segregated portfolio(s) of the FPI and each segregated portfolio of such FPI to be treated as separate FPI for the purpose of compliance with disclosure requirements
- In case of breach of concentration criteria by a segregated portfolio(s), the liquidation requirement, if applicable, shall apply only to such segregate portfolio(s).

The above requirement of additional disclosure for ODI subscribers and FPIs with segregated portfolio to come into effect after 5 months from the date of the circular i.e., w.e.f 17 May 2025.

Source: SEBI circular SEBI/HO/AFD/AFD-POD-3/P/CIR/2024/176 dated 17 December 2024

Enhancement in scope of optional T+0 settlement cycle in equity cash market

SEBI vide circular dated 21 March 2024 had introduced beta version of T+0 rolling settlement cycle **on optional basis** in addition to existing T+1 settlement cycle in equity markets for a set of 25 scrips and with a limited number of brokers.

Based on the feedback received from various stakeholders to increase the efficiency of optional T+0 settlement cycle and approval of SEBI Board, the following measures were decided:

- Increase in number of eligible scrips for trading under optional T+0 settlement cycle to be made available to top **500 scrips** in terms of market capitalisation as on 31 December 2024. This would be in addition to existing 25 scrips available (w.e.f. 31 January 2025)
- All stockbrokers allowed to participate in the optional T+0 settlement cycle. Stockbrokers are permitted to charge differential brokerage for T+0 and T+1 settlement cycles, within regulatory limit (w.e.f. 31 January 2025)
- Qualified Stockbroker to put in place necessary systems and processes for enabling seamless participation of investors in optional T+0 settlement cycle (w.e.f. 1 May 2025)
- Stock exchanges, clearing corporations, depositories, custodians to put in place necessary systems, processes for seamless participation of **institutional investors** in optional T+0 settlement (w.e.f. 1 May 2025)
- A mechanism for Block Deal window to be put in place by the stock exchanges under the optional T+0 settlement cycle (w.e.f. 1 May 2025).

Source: SEBI circular SEBI/HO/MRD/MRD-PoD-3/P/CIR/2024/172 dated 10 December 2024

International Financial Services Centres (IFSC)

Review of IFSCA (Fund Management) Regulations, 2022 – to be notified

Key changes proposed, inter alia, the following:

Common aspects for Venture Capital Schemes, Restricted Schemes (Non-Retail) and Retail Schemes

- Minimum size of scheme reduced from USD 5 million to USD 3 million
- Pending deployment of money, Fund Management Entity (FME) may invest in bank deposits and overnight schemes
- Fund of Fund (FOF) scheme exempt from valuation requirement if underlying fund has been valued by an independent service provider.

Common aspects for Non-Retail schemes (Venture Capital Schemes and Restricted Schemes

- Validity of Private Placement Memorandum for launch increased from 6 months to 12 months from IFSCA's acknowledgment
- Contribution by FME/Associate in a scheme, presently restricted at 10 per cent, permitted up to 100 per cent, subject to conditions.
- A provision for joint investments by two individuals with specific relationships is provided for non-retail schemes.

Source: IFSCA Press Release dated 21 December 2024

Income tax- case laws, notification

E-campaign launched to address income and transaction mismatches

Central Board of Direct Taxes launched electronic campaign to address mismatches between the reported income in the Annual Information Statement (AIS) and Income Tax Returns (ITRs) for FY 2023-24 and FY 2021-22.

Informational messages were sent via SMS and email to taxpayers and non-filers where mismatch was identified. Taxpayers can provide feedback including disagreeing with the information reported in the AIS.

The initiative is aimed to leverage technology for simplifying compliance and ensuring transparency.

Source: Press Information Bureau, Press Release dated 17 December 2024

Market watch- press articles- select extracts

Sebi proposes auction process to determine stock closing price

Markets regulator Sebi on Thursday proposed introducing a Close Auction Session (CAS) framework in the country to determine the closing price of stocks in the equity cash market. Currently, the closing price of stocks in India is determined using Volume Weighted Average Price (VWAP) of the last 30 minutes of the trading day.

Source: The Economic Times, Press Trust of India, 5 December 2024

IFSCA approves 200th fund; 13 funds relocate from Singapore, Mauritius & Dubai

An Alternate Investment Fund (AIF) from an Indian financial services company has become the 200th fund to be granted approval in GIFT City in Gujarat that now houses 13 AIFs that have relocated to India from foreign jurisdictions like Singapore, Mauritius and Dubai.

Source: The Hindu Business Line, Avinash Nair, 25 December 2024

FPI statistics – FPI portal, NSDL

Parameters	Current month	Earlier month	Changes
Net Equity inflows during Dec 2024 (in USD million)	1,828	(2,563)	
Net Debt inflows during Dec 2024 (in USD million)	1,480	(1)	
Total FPIs registered as on 31 Dec 2024	11,761	11,670	91
AUC of FPIs at end of Nov 2024 (in USD million)	915,026	905,924	9,102

Source: FPI portal, NSDL 31 December 2024

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